

Tentative Rulings for July 1, 2026 Department M301

**To request oral argument, you must notify
Judicial Secretary Kari Gates at (760) 904-5722
and inform all other counsel no later than 4:30 p.m.**

This court follows California Rules of Court, Rule 3.1308 (a) (1) for tentative rulings (see Riverside Superior Court Local Rule 3316). Tentative Rulings for each law & motion matter are posted on the Internet by 3:00 p.m. on the court day immediately before the hearing at [Riverside Superior Court-Tentative Rulings](#). If you do not have Internet access, you may obtain the tentative ruling by telephone at (760) 904-5722.

To request oral argument, no later than 4:30 p.m. on the court day before the hearing you must (1) notify the judicial secretary for Department M301 at (760) 904-5722 and (2) inform all other parties of the request and of their need to appear remotely, as stated below. If no request for oral argument is made by 4:30 p.m., the tentative ruling **will become the final ruling** on the matter effective the date of the hearing. **UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.**

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You may also make a Telephonic Appearance: On the day of the hearing, call into one of the below listed phone numbers, and input the meeting number (followed by #):

- Call-in Numbers: 1-833-568-8864 (Toll Free), 1-669-254-5252,
1-669-216-1590, 1-551-285-1373 or 1-646-828-7666
- Meeting Number: **161 538 5472**

Please **MUTE** your phone until your case is called and it is your turn to speak. It is important to note that you must call fifteen (15) minutes prior to the scheduled hearing time to check in or there may be a delay in your case being heard.

Riverside Superior Court provides official court reporters for hearings on law and motion matters only for litigants who have been granted fee waivers and only upon their timely request. (See General Administrative Order No. 2021-19-1) Other parties desiring a record of the hearing must retain a reporter pro tempore.

1.

CASE #	CASE NAME	HEARING NAME
CVME2402667	CAREY VS DEPARTMENT OF MOTOR VEHICLES HEADQUARTERS	MOTION TO STRIKE RESPONDENT'S OBJECTION AND WRIT OF MANDATE

Tentative Ruling: Motion to Strike is denied. Oral Arguments to Proceed on Writ of Mandate.

2.

CASE #	CASE NAME	HEARING NAME
CVME2501095	JOHNSON VS AG MURRIETA SNF LLC	PETITION TO COMPEL ARBITRATION

Tentative Ruling: Petition is Denied.

Under California law, Code of Civil Procedure §1281.2, a party to an arbitration agreement may move to compel arbitration if another party to the agreement refuses to arbitrate, and the court shall order the parties to arbitrate if it determines that an agreement to arbitrate exists, unless it determines that: (a) The right to compel arbitration has been waived by the petitioner; (b) Grounds exist for the revocation of the agreement; or (c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact.

A proceeding to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (*Freeman v. State Farm Mutual Auto Insurance Co.* (1975) 14 Cal.3d 473, 479). If there is a dispute as to the enforceability of an agreement to arbitrate, an evidentiary hearing is required. The facts are to be proven by affidavit or declaration and documentary evidence with oral testimony taken only in the court's discretion. (*Sonic-Calabasas A, Inc. v. Moreno* (2013) 57 Cal.4th 1109, 1157). The party petitioning for arbitration has the burden of proving that there is a valid arbitration agreement. (*Higgins v. Superior Court* (2006) 140 Cal.App.4th 1238, 1247.) The opposing party has the burden of proving that the arbitration provision is unenforceable. (*Ibid.*) "In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination." (*Rosenthal v. Great Western Finance Securities Corp.* (1996) 14 Cal.4th 394, 413-414).

The Federal Arbitration Act (FAA) (9 U.S.C. §§1 et seq.) also authorizes enforcement of arbitration clauses unless grounds exist in law or equity for the revocation of any contract. (9 U.S.C. §2). The enforcement language of the FAA is almost identical to Code of Civil Procedure, section 1281. In situations governed by the FAA, conflicting state law is preempted in either state or federal courts. (*Volt Info. Sciences, Inc. v. Board of Trustees of Leland Stanford Junior University* (1989) 489 U.S. 468, 477). To compel arbitration under the FAA, a finding must be made that an agreement exists for arbitration between the parties and the agreement covers the dispute. (*AT&T Technologies, Inc. v. Communications Workers of America* (1986) 475 U.S. 643, 648-49).

The leading U.S. Supreme Court case discussing the scope of arbitration clauses held that the enforcement of an arbitration clause is a matter of ordinary state-law contract

principles. (*AT&T Mobility LLC v. Concepcion* (2011) 131 S.Ct. 1740, 1745 (*Concepcion*); *First Options v. Kaplan* (1995) 514 U.S. 938, 944.) Arbitration agreements are on equal footing with other contracts and should be enforced according to their terms. (*Concepcion*, 131 S.Ct. 1740, 1745.) The phrase in the FAA, 9 U.S.C. §2, that arbitration agreements can be declared unenforceable on grounds of law or equity for revocation permits invalidating such agreements on contract defenses of fraud, duress or unconscionability. (*Concepcion*, 131 S.Ct. 1740, 1746.)

“Under both federal and California law, arbitration agreements are valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.” (*Armendariz v. Foundation Health Psychcare Services* (2000) 24 Cal.4th 83, 98 (*Armendariz*).)

Similar to California law, any doubt about the arbitration of a dispute under the FAA is resolved in favor of arbitration. (*AT&T Techs. v. Communs. Workers of America*, *supra*, at p. 650.)

In the summary proceedings on a motion to compel arbitration, “the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination.” (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.)

Existence of Agreement - First, the party seeking to compel arbitration has the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence. (*Ruiz v. Moss Bros. Auto Group* (2014) 232 Cal.App.4th 836, 842.)

In support of the petition, Defendant provides the declaration of James Wright, administrator at Murrieta Health and Rehabilitation Center. Wright explains Johnson signed the admission agreement himself and was given the opportunity to read the paperwork. (Wright Decl. ¶10.) Wright asserts the process for obtaining electronic signatures involves OneSpan, a software similar to DocuSign. The documents are electronically delivered to the signing party via the preferred phone number and email address on file. An authorization code is sent to the preferred phone number, which must be entered in order to open the documents sent to the designated email address. The signing party then opens the documents and electronically signs the documents. (¶11.) Wright explains where the e-signature is captured from the resident signee in person, an admissions assistant will bring an electronic tablet directly to the signee to capture their electronic signature. (¶12.) Wright explains the admissions assistant then signs a declaration on their own behalf indicating the arbitration agreement was explained to the resident in a language they can understand. The admissions assistant further attests that they explained to the resident the agreement is optional and not a condition for admission. (¶13.) The admissions assistant for Johnson’s admission was Jevan Carey. (¶13.) Wright provides a copy of Carey’s declaration, which explains they presented Johnson with the document at 2:00 p.m. on February 18, 2024. Carey indicates Johnson signed the agreement himself. (Wright Decl. Ex. C.)

Plaintiff objects to the evidence offered in support of the petition. Plaintiff objects to Wright’s declaration arguing he lacks the requisite personal knowledge to attest to the facts in his declaration. Wright explains he “oversee[s] the admissions process” and is “aware of policies and procedures for admitting new residents into the Facility both currently and at the time of Mr. Johnson’s admission.” (Wright Decl. ¶9.) Plaintiff takes issue with the fact that Wright was not personally present when Plaintiff signed the admissions documents. However, Wright’s declaration explains his familiarity with the

admissions process and then provides the declaration from Jevan Carey who was physically present when Plaintiff signed the admissions documents. Wright's declaration speaks to his own personal knowledge. **Objection is overruled.**

Plaintiff objects to the arbitration agreement arguing it has not been properly authenticated. Plaintiff argues Defendant did not provide a declaration from a custodian of records or other qualified employee from Murrieta Health who can authenticate the agreement based on personal knowledge. Under Evid. Code §1561(a)(3)-(5), in order to ensure that records are admissible without requiring their authenticity to be proved through live testimony, the custodian's declaration must state the records were prepared by personnel of the business in the ordinary course of business at or near the time of the act, condition or event, the identity of the records, and a description of the mode of preparation of the records.

Here, James Wright identifies the documents attached to his declaration as included in Johnson's "chart and business file" at Murrieta Health and Rehabilitation Center. Wright explains the documents are "maintained in the ordinary course and scope of business." (Wright Decl. ¶¶15-18.) As discussed above, Wright details the process for presenting the documents to residents and how their signature is captured and recorded. Wright explains the admissions assistant declaration that accompanies Plaintiff's signature on the arbitration agreement. (¶¶13, 17.) Wright does not specifically identify himself as a "custodian of records" for Defendant. Evidence Code §1561(a)(1) requires the affiant to state they are either the duly authorized custodian of records or "other qualified witness and has authority to certify the records." Wright does not state he has "authority" to certify the records. However, the substance of Wright's declaration makes clear he is familiar with the processes in place to obtain signatures from residents and since he "oversees the admissions process" he has the ability to certify the records kept in the course and scope of Defendant's business are what they purport to be. Wright's declaration is sufficient to authenticate the arbitration agreement. **Objection Overruled.**

Plaintiff also objects to Exhibits C and D to the Wright declaration. However, Plaintiff's arguments concerning these exhibits – that they lack proper foundation and do not establish Plaintiff had capacity or authority to sign the arbitration agreement – go to the weight of the evidence rather than its admissibility. **Objections Overruled.** Defendant has met its burden to establish an arbitration agreement exists between the parties.

Johnson's Capacity to Sign the Agreement - Plaintiff argues Defendants cannot demonstrate that Plaintiff knowingly and voluntarily agreed to arbitration. Plaintiff notes on January 27, 2024 he underwent hip surgery after a fall at home. During the surgery, Plaintiff suffered a heart attack. On January 28, 2024, he was transferred to Temecula Valley Hospital for a code STEMI and underwent emergency cardiac catheterization with stent placement. On February 1, 2024, he was discharged from the hospital and admitted to Murrieta Health for rehabilitation. Plaintiff contends he was "wholly dependent on facility staff for his basic needs" (Opp. p.6:15) and was not oriented to time. (Opp. p.6:18-19.)

Plaintiff's sister, Chrissi Borchard, submits a declaration in support of the Opposition. She was Plaintiff's power of attorney during his time in hospitals and care facilities. (Borchard Decl. ¶2.) Borchard explains "Paul had significant hearing limitations" as he could only hear in one ear and relied on hearing aids. (¶4.) Borchard explains that even when using a hearing aid, Plaintiff "frequently had difficulty hearing and fully understanding conversations." (¶4.) Borchard describes Plaintiff as "the type of person who would comply with request without question." (¶5.) Borchard states she consistently

informed medical providers and facilities that she was his power of attorney. (§5.) Borchard instructed Murrieta Health that she would be signing all paperwork on his behalf. (§7.) Plaintiff's medical conditions "affected his ability to fully understand complex matters." (§6.) It is Borchard's opinion that Plaintiff would not have understood the nature or consequence of an arbitration agreement and he wouldn't have known to ask questions about such an agreement. (§6.) Borchard explains it was random and dependent on the day as to whether Plaintiff would understand complex or even simple things. (§6.) Borchard expresses concern about Paul's mental and physical state on the day he purportedly signed the arbitration agreement. Borchard states, at that time, he was extremely fatigued, under significant stress, and recovering from his many surgeries and complications. (§7.)

Lack of mental capacity to enter into the contract is a defense to enforcement of the arbitration clause. (Civil Code § 1556 (persons of unsound mind incapable of contracting).) Agreements made by a person of unsound mind may be void or voidable. (Civil Code §§38-40.) The law presumes all persons have the capacity to make decisions and to be responsible for their actions or decisions (Prob. Code §810(a)), but this presumption may be rebutted (ibid). Contracts are void if the maker was wholly without understanding or judicially determined insane. (Civil Code §38.) The agreements of a person who is mentally unsound, but not "entirely without understanding," may be voidable. (Civil Code §39.) The test is whether the person could fully understand the particular agreement and its consequences. (Ibid.) Mental incapacity does not require long-lasting or complete incapacitation, and it may exist when a party takes "unfair advantage of another's weakness of mind" arising from such facts as "lack of full vigor due to age, physical condition, emotional anguish, or a combination of such factors." (*Smalley v. Baker* (1968) 262 Cal.App.2d 824, 834-835, disapproved on other grounds in *Weiner v. Fleischman* (1991) 54 Cal.3d 476.)

The Probate Code establishes evidentiary requirements relating to judicial determinations of capacity, including the capacity to contract. (Probate Code § 812.) A determination that a person is of unsound mind or lacks the capacity to contract must be supported by evidence of a deficiency in at least one of four specified mental functions, and evidence of a correlation between the deficit or deficits and the decision or acts in question: 1) alertness and attention (i.e., level of arousal or consciousness, orientation to time, place, person and situation, ability to attend and concentrate); 2) information processing (i.e., short and long term memory, ability to understand or communicate with others, either verbally or otherwise, recognition of familiar objects and familiar persons, ability to understand and appreciate quantities, ability to reason using abstract concepts, ability to plan, organize and carry out actions, ability to reason logically); 3) thought processes (i.e., deficits include severely organized thinking, hallucinations, delusions, uncontrollable, repetitive or intrusive thoughts); and 4) ability to modulate mood and effect (i.e., deficits include persistent or pervasive state of euphoria, anger, anxiety, fear, panic, depression, hopelessness or despair, helplessness, apathy or indifference that is inappropriate in degree to the individual's circumstances). (Probate Code § 811(a)(1)-(4).)

The evidence before the court shows Plaintiff was deficient with respect to information processing. Borchard presents evidence that Plaintiff had significantly impaired hearing and even when wearing his hearing aid "frequently had difficulty hearing and fully understanding conversations." (Borchard Decl. ¶4.) Borchard also presents some evidence that Plaintiff was deficient with respect to attention as he would not understand

even simple things on some days, depending on the day and how he felt. (Borchard Decl. ¶¶6.) Neither party has offered evidence to show Plaintiff's physical, mental, or emotional condition on the day he signed the arbitration agreement. The declaration from Jevan Carey does not attest to Plaintiff's condition on February 18, 2024. (Wright Decl. Ex. C.)

The evidence from Borchard is compelling. Plaintiff is an elderly individual who, at the time he signed the arbitration agreement, was recovering from numerous surgeries and medical complications. Plaintiff relied on his sister as his Power of Attorney and, despite that designation, Defendant presented Plaintiff with the arbitration agreement independently of Borchard. Plaintiff had difficulty hearing and understanding conversations. Plaintiff was the type of person to sign documents without question. Depending on the day, he could not understand simple, let alone complex, things. Based on the evidence before the court, it appears Plaintiff could not enter in a valid contract at the time he is purported to have signed the arbitration agreement.

3.

CASE #	CASE NAME	HEARING NAME
CVME2504023	PERRY VS DRIVEN I/O	DEMURRER

Tentative Ruling: Evidentiary objections sustained. Sanctions denied. General and Special Demurrer are overruled. Cross-Defendant to file responsive pleading within 20 days. Cross-Complainants objects to paragraphs 7, 9, 10 and Exhibits B (Plaintiff's Discovery Responses) and C (email by Plaintiff) contained in Santos's declaration. The objections are sustained as they are extrinsic evidence. A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.)

Cross-Complainants cite *Notable Fin. LLC v. Woolverton*, 2024 Cal. Super. LEXIS 76320* to request sanctions in the amount of \$1,000 for Plaintiff's improper use of extrinsic evidence. However, this case is a trial court order which does not have precedential value. (See e.g., *Harrott v. County of Kings* (2001) 25 Cal.4th 1138, 1148; *Santa Ana Hospital Medical Center v. Belshe* (1997) 56 Cal.App.4th 819, 831; *Bolanos v. Superior Court* (2008) 169 Cal.App.4th 744, 761; *City of Bakersfield v. West Park Home Owners Assn. & Friends* (2016) 4 Cal.App.5th 1199, 1210 ["Accordingly, we will neither rely upon, nor take judicial notice of, these orders"].)

1st Cause of Action: Negligence -The elements for a negligence claim are duty on the part of the defendant toward plaintiff; defendant's breach of that duty, and harm to plaintiff caused by the breach. (*Kesner v. Superior Court* (2016) 1 Cal.5th at 1132, 1142.)

In the present case, the FACC alleges Plaintiff owed Driven a duty to exercise reasonable care that included observing all of Driven's policies and procedures and not deleting Driven data. (FACC ¶15.) As a bailee of the laptop, Plaintiff had a duty to return it in good working condition. (*Id.* at ¶16.) Plaintiff breached her duties by failing to return the laptop in working condition, instead leaving it password protected such that Cross-Complainants were deprived of use of the laptop. (*Id.* at ¶17.) Plaintiff also breached her duties by wiping the laptop clean which violated Driven's policies and California law of

deleting records that could be relevant to claims Plaintiff would assert against Driven in violation of Penal Code section 135. (*Id.* at ¶18.)

Taking the foregoing allegations as true for purposes of demurrer, the FACC sufficiently pleads a cause of action for negligence.

Plaintiff argues the FACC pleads intentional conduct, which precludes recovery under a negligence theory, but none of the cases Plaintiff cite support this argument. *Fire Ins. Exchange v. Superior Court* (2010) 181 Cal.App.4th 338, 393 discusses the distinction of “accident” as an act giving rise to liability versus a person’s intent to cause harm. *Southern California Gas Leak Cases* (2019) 7 Cal.5th 391, 397 discussed whether a plaintiff can recover purely economic losses in a negligence claim. *Centinela Freeman Emergency Medical Associates, et al. v. Health Net of California, Inc.* (2016) 1 Cal.5th 994, 293 discussed the threshold element of duty to use due care “toward an interest of another that enjoys legal protection against unintentional invasion”. The cases do not hold recovery is barred when a complaint pleads intentional conduct. Thus, Plaintiff fails to cite legal authority to support her argument.

Plaintiff next contends the bailee theory fails because the laptop was physically returned, that spoliation of evidence is not an independent tort in California, and the FACC contradicts with Plaintiff’s original complaint. However, these arguments are based on extrinsic evidence, Santos’s declaration, and the Court must disregard them. Plaintiff takes issue with the FACC’s allegation that Cross-Complainants were deprived of use of the laptop and exposed to substantial damages because the FACC fails to allege any specific quantifiable monetary loss. However, the FACC alleges all elements for a claim of negligence, which does not require proof of a monetary amount. Instead, negligence requires harm, which the FACC alleges, to wit: the deprivation of use of the laptop because Plaintiff refused to give Driven the password to access the laptop despite multiple requests (FACC ¶¶13, 17) and denial of access to records because Plaintiff deleted such records (*id.* at ¶18). Again, Plaintiff’s cited authority to support her argument is inapplicable - *Itano v. Colonial Yacht Anchorage* (1968) 267 Cal.App.2d 84, 90 dealt with a cause of action for conversion and actual damages and “[t]he case was not tried on the theory of negligence.

2nd Cause of Action: Violation of Comprehensive Computer Data Access and Fraud Act Penal Code § 502 -Penal Code section 502 affords protection to

“individuals, businesses, and governmental agencies from tampering, interference, damage, and unauthorized access to lawfully created computer data and computer systems.” The California Computer Data Access and Fraud Act (“CDAFA”) provides that any person who commits the following acts is guilty of a public offense: “(1) Knowingly access and without permission...uses any data, computer, computer system, or computer network in order to...wrongfully control or obtain money, property, or data; [or] (2) Knowingly access and without permission takes, copies, or makes use of any data from a computer, computer system, or computer network, or takes or copies any supporting documentation, whether existing or residing internal or external to a computer, computer system or computer network.” (Pen. Code, §§ 502, subd. (c)(1)(B) & (c)(2).)

In a civil cause of action for violation of the CDAFA, a plaintiff must prove the following: (1) plaintiff is the owner of the computer; (2) defendant knowingly access and without permission used plaintiff’s data or computer in order to wrongfully control or obtain data and/or knowingly accessed and without permission took copies or made use of any data from a computer [Pen. Code, §§502, subd. (c)(1)(B) and (c)(2)]; (3) defendant’s access

was without plaintiff's permission; (4) plaintiff was harmed; and (5) defendant's conduct was a substantial factor in causing plaintiff's harm. (CACI 1812.)

The FACC alleges Social Catfish is the owner of the laptop and Driven is the service provider and agent for Social Catfish that has an interest in the data on the laptop, thus standing is established. (FACC ¶¶21-22.) It is alleged that Plaintiff's "affirmative actions of deleting data, not returning the laptop as required and locking the computer, in contravention of company policies, were knowingly made" to Cross-Complainants' detriment. (*Id.* at ¶23.) Plaintiff's conduct is alleged to violate numerous provisions of the CDAFA. (*Id.* at ¶24.) Cross-complainants have not been able to unlock the laptop, and the deletion of data was for the purpose of defrauding and deceiving Driven about Plaintiff's claims and to prevent Driven from using the data as a defense in violation of Penal Code section 502, subdivision (c)(1). (*Id.* at ¶¶25-26.) Cross-Complainants are alleged to have suffered damages exceeding \$250. (*Id.* at ¶27.)

Several of Plaintiff's arguments attacking the second cause of action improperly rely on extrinsic evidence, to wit: that she was an authorized user during the alleged conduct and thus could not have acted without permission; that Driven had alternative means of accessing the laptop; and that company records showing systemic company issue of locked laptops with departing employees are in contradiction with Plaintiff's conduct being criminal. Extrinsic evidence must be disregarded by the Court. Regardless, the plain language of Penal Code section 502, subdivision (c)(2) makes clear the conduct must be knowing and "without permission," which the FACC does allege.

Plaintiff contends her refusal to assist a former employer post-termination in accessing the laptop is not an affirmative disruption in computer services. This argument is a distinction without a difference. Cross-Complainants are unable to access her laptop and are prevented from accessing the data on the laptop. (FACC ¶¶25-26.) Moreover, contrary to Plaintiff's contention that damages fail to meet the statutory threshold, Penal Code 502, subdivision (h)(2) sets damage amount of exceeding \$250.

Merits – Special Demurrer for Uncertainty - A special demurrer for uncertainty lies only where the complaint is so poorly drafted that the defendant cannot reasonably respond. That is, the defendant cannot reasonably determine what issues must be admitted or denied or what claims are asserted against him. (*Khoury v. Maly's of Calif., Inc.* (1993) 14 Cal.App.4th 612, 616.) Where it is alleged that a pleading is uncertain, the movant must specify how or why the pleading is uncertain, and where such uncertainty appears in the face of the pleading under attack. (*Fenton v. Groveland Comm. Services Dist.* (1982) 135 Cal.App.3d 797, 809 [overruled on other grounds in *Katzberg v. Regents of the University of California* (2002) 29 Cal.4th 300, 328].)

Plaintiff's special demurrer disputes facts stated in the FACC, and as such, it cannot be "so ambiguous or unintelligible [she] cannot reasonably respond."

4.

CASE #	CASE NAME	HEARING NAME
CVME2512914	FIELDS VS FAST MOSS, INC.	MOTION FOR PROTECTIVE ORDER

Tentative Ruling: The motion is moot. Plaintiff's request for sanctions is granted in the amount of \$1,250 payable within 30 days of this order.

5.

CASE #	CASE NAME	HEARING NAME
CVME2600067	BASS VS CLENNAN	DEMURRER

Tentative Ruling: Request for Judicial notice Granted. Demurrer sustained with 20 days leave to amend with the exception of the Eighth Cause of Action for Unjust Enrichment in which leave to amend is denied. Further Demurrer overruled to the ninth Cause of Action (Rosenthal). Defendants request judicial notice of several documents filed in *Bass v. Clennan*; Case No. 5:25-cv-01298-SSS-SHK ("Federal Action") in the United States District Court, Central District of California. These documents may be judicially noticed pursuant to Evid. Code §452(d), which permits judicial notice of court records. However, "although the existence of a document may be judicially noticeable, the truth of statements contained in the document and its proper interpretation are not subject to judicial notice if those matters are reasonably disputable." (*Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal. App. 4th 97, 113.) **Collateral Estoppel** - Defendants argue that Plaintiff's claims against them are barred under the doctrine of collateral estoppel. "The doctrine of res judicata precludes parties or their privies from relitigating a cause of action that has been finally determined by a court of competent jurisdiction." (*Bernhard v. Bank of America Nat'l Trust & Sav. Association* (1942) 19 Cal. 2d 807, 810.) The doctrine of res judicata has two aspects: the first is referred to as claim preclusion, which operates as a bar to the maintenance of a second suit between the same parties on the same cause of action, and the second as collateral estoppel, or issue preclusion, which applies in a second suit based on a different cause of action where a prior judgment in a prior suit operates as a conclusive adjudication as to such issues as were actually litigated and determined. (*Ibid.*) "Collateral estoppel precludes relitigation of issues argued and decided in prior proceedings." (*Lucido v. Superior Court* (1990) 51 Cal. 3d 335, 341.) "Collateral estoppel means simply that when an issue of ultimate fact has once been determined by a valid and final judgment, that issue cannot again be litigated between the same parties in any future lawsuit." (*Lucas v. County of Los Angeles* (1996) 47 Cal. App. 4th 277, 286.) There are five threshold issues for the application of collateral estoppel: (1) the issue sought to be precluded must be identical to that decided in a former proceeding; (2) the issue must have been actually litigated in the former proceeding; (3) it must have been necessarily decided in the former proceeding; (4) the decision in the former proceeding must be final and on the merits; and (5) the party against whom preclusion is sought must be the same as, or in privity with, the party to the former proceeding. (*Lucido, supra*, 51 Cal. 3d at 341.) The party asserting the preclusion has the burden of establishing each of these elements. (*Ibid.*)

A judgment given after the sustaining of a demurrer may be a judgment on the merits if it is substantive, such as where the earlier demurrer was based on the failure of the facts to establish a cause of action and the same facts are pled in the second action; however, a judgment on a general demurrer that was sustained for technical or formal reasons may not be a final determination on the merits. (*Goddard v. Security Title Ins. & Guarantee Co.* (1939) 14 Cal. 2d 47, 52.) Moreover, if the second action alleges new or different facts that correct the prior omissions, the prior judgment may not be a bar. (*Ibid.*) The judgment after sustain a demurrer “is a judgment on the merits to the extent that it adjudicates that the facts alleged do not constitute a cause of action...If, on the other hand, new or additional facts are alleged that cure the defects in the original pleading, it is settled that the former judgment is not a bar to the subsequent action whether or not plaintiff had an opportunity to amend his complaint.” (*Wells v. Marina City Properties, Inc.* (1981) 29 Cal. 3d 781, 789; citing *Keidatz v. Albany* (1952) 39 Cal.2d 826, 828.)

On May 28, 2025, Plaintiff filed his Complaint in the Federal Action, asserting claims based on the alleged fraudulent financial transaction resulting from the restrictive signature requirement and securitization of the November 21, 2024 promissory note. (RJN, Ex. 1.) Defendants filed a Motion for Judgment on the Pleadings on grounds that the District Court lacked subject matter jurisdiction and personal jurisdiction over Clennan, and because the Complaint was vague and unintelligible in violation of Rule 8(a). (RJN, Ex. 2.) In granting Defendants’ Motion, the District Court held that Plaintiff did not meet the requirements under Fed. R. Civ. P. §8(d)(1) that each allegation must be simple, concise and direct. (RJN, Ex. 6.) The Court stated, “it is unclear to the Court, as it is to Defendants, how the alleged facts are connected to the purported legal theories and how Defendants’ alleged actions have specifically caused Plaintiff harm.” (*Id.*) The Court dismissed the Federal Action without prejudice and granted leave to amend, finding that amendment would not be futile. (*Id.*) Because the District Court found the Complaint unintelligible, it did not address the substance of Plaintiff’s claims. Because there was no adjudication on the merits, the claims are not barred by collateral estoppel.

Second Cause of Action - Wrongful Foreclosure - The elements of a wrongful foreclosure claim are: (1) the trustee or mortgagee caused an illegal, fraudulent, or willfully oppressive sale of real property pursuant to a power of sale in a mortgage or deed of trust; (2) the party attacking the sale was prejudiced or harmed; and (3) in cases where the trustor or mortgagor challenges the sale, the trustor or mortgagor tendered the amount of the secured indebtedness or was excused from tendering. (*Lona v. Citibank, N.A.* (2011) 202 Cal.App.4th 89, 104.) Generally, a party challenging a foreclosure must make full tender to establish his or her ability to purchase the property. (*United States Cold Storage v. Greater Western Savings & Loan* (1985) 165 Cal. App. 3d 1214, 1225.) However, tender may not be required where: (1) the borrower attacks the validity of the underlying debt; (2) the borrower has a counterclaim or setoff; (3) it would be inequitable to require tender; and (4) the deed of trust is void on its face. (*Lona v. Citibank, N.A.* (2011) 202 Cal.App.4th 89, 112-113.)

Plaintiff alleges that the attempted foreclosure is wrongful because: (a) the second promissory note was obtained under duress; (b) Plaintiff timely rescinded the promissory note; (c) Defendants failed to comply with the HBOR’s dual tracking and single point of contact requirements; (d) failed to respond to QWRs and billing error notices; and (e) Defendant failed to properly credit Plaintiff’s equitable contributions and

failed to account for securitization proceeds. (Comp., ¶68.) As explained more fully below, Plaintiff has not established that the second note was obtained under duress or that the promissory note was properly rescinded. Additionally, Plaintiff's HBOR violation claim is uncertain. Because there are no facts showing that the promissory note or DOT are void, Plaintiff must allege tender, which he failed to do.

Third Cause of Action - Violations of the Homeowners' Bill of Rights - The Homeowner Bill of Rights was enacted to ensure that "as part of the nonjudicial foreclosure process, borrowers are considered for, and have a meaningful opportunity to obtain, available loss mitigation options, if any, offered by or through the borrower's mortgage servicer, such as loan modifications or other alternatives to foreclosure. (*Valbuena v. Ocwen Loan Servicing, LLC* (2015) 237 Cal. App. 4th 1267, 1272.) The statute prevents "dual tracking" which occurs when a bank forecloses on a loan while negotiating with the borrower to avoid foreclosure. (*Valbuena v. Ocwen Loan Servicing* (2015) 237 Cal. App. 4th 1267, 1272). However, the mortgage servicer has no duty to agree to a loan modification and lenders are not required to take any action. (*Hamilton v. Greenwich Investors* (2011) 195 Cal. App. 4th 1602, 1617.)

The third cause of action appears to be based on dual-tracking and the failure to provide a single point of contact. (Comp., ¶72, 73.) However, there are no facts showing that Plaintiff requested or completed a loan modification application pursuant to the statute. Statutory causes of action, must be pleaded with particularity. (*Covenant Care v. Superior Court* (2004) 32 Cal. 4th 771, 790)

Fourth Cause of Action - Fraud: Duress and Non-Disclosure - The elements of fraud are: (1) misrepresentation or concealment, (2) knowledge of falsity, (3) intent to defraud, (4) justifiable reliance, and (5) resulting damage. (*Lovejoy v. AT&T Corp.* (2004) 119 Cal. App. 4th 151, 157-158.) Every element of the cause of action must be pled factually and specifically and the policy of liberal pleading does not apply. (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal. 4th 26, 47.) This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered." (*Lazar v. Superior Court* (1996) 12 Cal. 4th 631, 645.) "The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact to the plaintiff; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would not have acted as he or she did if he or she had known of the concealed or suppressed fact; and (5) plaintiff sustained damage as a result of the concealment or suppression of the fact." (*Graham v. Bank of America, N.A.* (2014) 226 Cal. App. 4th 594, 606.)

Plaintiff alleges that Defendants Clennan and MSF committed actual fraud and constructive fraud on November 21, 2024, by coercing Plaintiff to sign a second promissory note under an explicit threat of losing his home and \$374,200 investment and failing to disclose the lack of new consideration for the second note. (Comp, ¶77.) However, there are no facts showing that Defendants made such a threat. This so-call threat appears to be only the demand that Plaintiff remove the term "without prejudice" from the signature acknowledgement in order to proceed with the loan. (Id at ¶¶30-37.) This is not an explicit threat to foreclose on Plaintiff's home or deprive him of a \$374,200 investment, most of which appears to be the money loaned by MSF.

The fraud cause of action is also based on allegations that Defendants failed to disclose that the loan was securitized or monetized. However, Plaintiff has not established that there was a duty to disclose this information or that the failure to

disclose the alleged securitization was the cause of any damages. (See *Bank of America Corp. v. Superior Court* (2011) 198 Cal.App.4th 862, 872-873.)

Fifth Cause of Action - Breach of Contract - "A cause of action for breach of contract requires pleading of a contract, plaintiff's performance or excuse for failure to perform, defendant's breach and damage to plaintiff resulting therefrom." (*Spinks v. Equity Residential Briarwood Apartments* (2009) 171 Cal. App. 4th 1004, 1031.) "If [an] action is based on alleged breach of a written contract, the terms must be set out verbatim in the body of the complaint or a copy of the written agreement must be attached and incorporated by reference." (*Harris v. Rudin, Richman & Appel* (1999) 74 Cal.App.4th 299, 307.) The plaintiff may also plead the legal effect of the contract. (*Construction Protective Services, Inc. v. TIG Specialty Ins. Co.* (2002) 29 Cal.4th 189, 198-199.)

The Promissory Note is attached to the Complaint. Plaintiff alleges that Defendants breached the contract by: (1) demanding a second note without consideration and under duress; (2) failing to disclose securitization and monetization; (3) failing to properly apply payments; (4) initiating foreclosure despite rescission; and (5) violating statutory duties incorporated into the contract. (Comp, ¶ 84.) However, it is not clear that the contract required Defendants to disclose securitization or monetization or how any payments were misapplied. More importantly, Plaintiff does not allege that he performed under the contract by making all monthly payments. Instead, it appears that Plaintiff claims that he was not required to make the monthly payments because he rescinded the note due to duress. A party to a contract may rescind the contract if: (1) the consent of the rescinding party was obtained by mistake, through duress, menace, fraud, or undue influence, by another party to the contract; or (2) if consideration for the obligation of the rescinding party fails (Civ. Code § 1689(b)(1) and (2).) To rescind a contract, the rescinding party must, upon discovering the facts that entitle him or her to rescission, promptly give notice of rescission and restore to the other party everything of value, which he or she has received under the contract, or offer to restore said funds upon condition that the other party do the same. (Civil Code §1691.) The purpose of rescission is to restore the parties to the positions they would have been in had they not entered the contract. (*Akin v. Certain Underwriters at Lloyd's of London* (2006) 140 Cal. App. 4th 291, 298.) Here, Plaintiff does not allege that he returned the loan money to Defendants with his Notice of Rescission. Plaintiff has not adequately pled either performance under the contract or valid rescission of the contract.

Sixth Cause of Action - Quiet Title - A quiet title action seeks to establish an interest in real property as between adverse claimants. (*Deutsche Bank National Trust v. McGurk* (2012) 206 Cal. App. 4th 201, 210.) The elements are: (1) the plaintiff is the owner and in possession of the land; and (2) defendant claims an interest adverse to the plaintiff. (*South Shore Land Co. v. Peterson* (1964) 226 Cal. App. 2d 725, 740-741.) "The object of the action is to finally settle and determine, as between the parties, all conflicting claims to the property in controversy, and to decree to each such interest or estate therein as he may be entitled to." (*Weeden v. Hoffman* (2021) 70 Cal. App. 5th 269, 291.) A mortgagor must meet the tender requirement to maintain a cause of action to quiet title against the mortgagee. (See *Fonteno v. Wells Fargo Bank, N.A.* (2014) 228 Cal.App.4th 1358, 1372; *Lueras v. BAC Home Loans Servicing, LP* (2013) 221 Cal.App.4th 49, 86-87.)

Like the wrongful foreclosure cause of action, the quiet title action fails because Plaintiff does not allege that he tendered the loan amount or that any exception to the tender rule apply.

Seventh Cause of Action - Declaratory Relief - Pursuant to CCP §1060, any person under a written instrument who desires a declaration of his or her rights or duties with respect to another, may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an action or cross-complaint in the superior court for a declaration of his or her rights or duties. To demonstrate entitlement to declaratory relief, a plaintiff must show that the action presents “two essential elements: (1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the rights or obligations of a party.” (*Lee v. Silveira* (2016) 6 Cal.App.5th 527, 546.) An actual controversy “encompasses a probable future controversy relating to the legal rights and duties of the parties. [Citation]. It does not embrace controversies that are conjectural, anticipated to occur in the future, or an attempt to obtain an advisory opinion from the court.” (*Ibid*; see also *City of Cotati v. Cashman* (2002) 29 Cal.4th 69, 79.) Moreover, declaratory relief is not appropriate to remedy past wrongs. (*California Insurance Guarantee Assn. v. Superior Court* (1991) 231 Cal.App. 3d 1617.)

Plaintiff argues that actual controversies exist as to the validity and enforceability of the first and second promissory notes, the effect to Plaintiff’s rescission and lawfulness of Defendants’ securitization without disclosure and whether Defendants may lawfully foreclose. (Comp., ¶¶93.) He seeks declarations that the second promissory note is void due to duress and lack of consideration; that the DOT is void and unenforceable due to rescission and statutory violations, that Defendants have no right to foreclose and the Plaintiff owns the Subject Property free of Defendants’ adverse claims. (Id at ¶¶94.) Thus, the declaratory relief cause of action is derivative of the other claims raised in the Complaint, which are factually deficient. (See *Allied Anesthesia Medical Group, Inc. v. Inland Empire Health Plan* (2022) 80 Cal. App. 5th 794, 813.)

Eighth Cause of Action - Unjust Enrichment - Unjust enrichment applies when the defendant receives a benefit and the unjust retention of the benefit at the expense of the plaintiff and the plaintiff does not get the exchange he expected. (*Peterson v. Celco Partnership* (2008) 164 Cal. App. 4th 1583, 1593.) The equitable remedy of unjust enrichment is “an *obligation* (not a true contract) created by the law without regard to the intention of the parties, and is designed to restore the aggrieved party to his or her former position by return of the thing or its equivalent in money.” (*Federal Deposit Ins. Corp. v. Dintino* (2008) 167 Cal. App. 4th 333, 346, emphasis in original.) A cause of action for unjust enrichment is not an action on a contract, but rather an obligation created by law for reasons of justice. (*Ibid*.) The theory is inapplicable when an express contract exists since “there is no equitable reason for invoking restitution when the plaintiff gets the exchange he expected.” (*Durell v. Sharp Healthcare* (2010) 183 Cal.app.4th 1350, 1380-1371.)

Plaintiff asserts that Defendants have been unjustly enriched through the securitization and monetization of Plaintiff’s note, the use of his property and credit to generate profits, and the pursuit of foreclosure despite having already obtained substantial value from the transaction. (Comp, ¶¶97.) However, it is not clear that Defendants received any payments or anything of value from Plaintiff that should be returned. Additionally, the Complaint clearly alleges the existence of an express contract, i.e. the promissory note and DOT. Since an express contract exists, it does not appear that Plaintiff can amend the Complaint to cure the defects. Leave to amend is denied.

Ninth Cause of Action - Violations of the Rosenthal Fair Debt Collection Practices Act - The Rosenthal Act is the statutory equivalent of the Federal Fair Debt Collection

Practices Act. The purpose is “to prohibit debt collectors from engaging in unfair or deceptive acts or practices in the collection of consumer debts and to require debtors to act fairly in entering into and honoring such debts.” (Civil Code § 1788.1(b).) Although Defendants appear to demur to this cause of action, it is only asserted against Co-Defendants McCalla and Affina. As such, Defendants do not have standing to challenge this cause of action.

First Cause of Action - Injunctive Relief - Although strictly speaking, an injunction is a remedy rather than a cause of action, a cause of action is also commonly used in pleading as applying only to the relief sought, even though separately pleaded claims have origin in the same right or obligation. (*McDowell v. Watson* (1997) 59 Cal. App. 4th 1155, 1159.) The elements of a cause of action for injunctive relief are (1) a tort or other wrongful act constituting a cause of action; and (2) irreparable injury, i.e., a factual showing that the wrongful act constitutes an actual or threatened injury to property or personal rights which cannot be compensated by an ordinary damage award.” (*Brownfield v. Daniel Freeman Marina Hospital* (1989) 208 Cal. App. 3d 405, 410.) To state a cause of action for an injunction, the complaint must plead facts that warrant injunctive relief. (*San Francisco v. Market S. R. Co.* (1950) 95 Cal. App. 2d 648, 656.)

As stated above, Plaintiff has not sufficiently pled wrongful acts based on wrongful foreclosure activities, fraud or duress, violations of the HBOR or breach of contract. Therefore, he has not satisfied the first element necessary for a claim for injunctive relief or the Accounting Cause of Action.